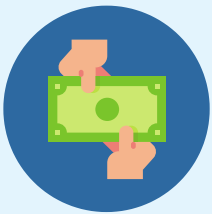


INCOME STATEMENT

Now that we understand a personal Balance Sheet and have created one, next we move on to creating a personal Income Statement. Just like our balance sheet, it is a list of all our assets and liabilities, Our income statement is a list of our earning sources and expenses.

To create an income statement, we begin with a list of all the sources of income that we have. Next, we will list down all our expenses. The balance figure that we have is the surplus or deficit. So, if the total of our earnings is greater than expenses, as it should be, we have a surplus and if our total of earnings is less than expenses, we are running a deficit. This surplus/deficit directly impacts our balance sheet. Soon we will also find out how the income statement and the balance sheet are interlinked with each other. The overall health of income statements over many years determines the health of our balance sheet as of today.

Income



SALARY INCOME



BUSINESS PROFITS



RENTAL INCOME



CAPITAL GAINS



DIVIDEND &
INTEREST

Expenses



GROCERY BILL



UTILITY BILLS



RENT PAID



HEALTH &
EDUCATION



ENTERTAINMENT

Surplus / Deficit